



CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 2 – PAPER 02

$2\frac{1}{2}$ hours

04 JUNE 2007 (p.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from **EACH** section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.

SECTION A

MODULE 1: PRODUCTION AND OPERATIONS MANAGEMENT

Answer ONE question from this section.

1. Everyday Electronics is a Caribbean company involved in manufacturing consumer products. It is in the process of designing a new blender.

Define EACH of the following dimensions of quality and explain how each dimension will influence the design and production of the blender:

- (a) Features
- (b) Reliability
- (c) Durability
- (d) Serviceability

Total 25 marks

2. Blackbird Entertainment Company is planning an event to expose its artistes to the general public. It has identified the following main activities.

Activity	Description	Preceding Activities	Duration (Weeks)
A	Sign up artistes	None	3
B	Book venue	A	1
C	Obtain sponsorship	A	4
D	Design advertising materials	A	5
E	Print Tickets	C, D	4
F	Sell Tickets	B	3
G	Place advertising	D	4
H	Pay for venue	E	2
I	Hold event	G, H	1

- (a) Draw a network diagram to represent the above activities inclusive of their duration. [11 marks]
- (b) Calculate the duration of the project. [4 marks]
- (c) Define the term “critical path” and identify the critical path of the project. [4 marks]

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(d) Define the following terms, in relation to network diagrams:

- (i) Early Start Time [2 marks]
- (ii) Late Finish Time [2 marks]
- (iii) Total float [2 marks]

Total 25 marks

SECTION B

MODULE 2: FUNDAMENTALS OF MARKETING

Answer ONE question from this section.

3. (a) Define EACH of the following marketing concepts

- (i) Branding
- (ii) Pricing
- (iii) Distribution channels
- (iv) Advertising

[8 marks]

(b) One River Foods is a Caribbean company operating in Sunset Isle which markets a variety of food products under the One River brand name. The company plans to introduce a new line of cornflakes to the island in three months.

- (i) For EACH concept defined in (a) above, describe TWO strategies which the company may consider when planning this aspect of its marketing.
- (ii) For EACH concept, indicate which strategy is better, giving ONE reason for your choice.

[17 marks]

Total 25 marks

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4. Advanced Marketing Research Inc. has been asked to conduct a research project for Sunshine Bakeries, a small Caribbean manufacturer of cakes and pastries. The company wants to investigate buyer motivations and other purchase behaviour such as frequency of purchase for its type of products. The company must choose between the following pairs of options for the research project.
- (i) Primary versus secondary sources of data
 - (ii) Probability versus non-probability sampling
 - (iii) Focus groups versus surveys
- (a) Differentiate between the above pairs of options outlining one advantage and one disadvantage of one option over the other.
- (b) For EACH pair of options, indicate which one the company should choose, giving ONE reason for your choice.

Total 25 marks

SECTION C

MODULE 3: SMALL BUSINESS MANAGEMENT

Answer ONE question from this section.

5.

CASE STUDY

MAKING IT "DANCE-HALL"

Sandy and Shelley are contemplating the formation of a partnership called S & S Enterprise, specializing in "Dance-Hall Outfits" since they have a wealth of experience in that area. They had recently moved into a small district, called "Peaceville", comprising mainly of middle-aged women who spent most of their time going to church, the supermarket and back home. The small number of young adults would spend most of their time at work and getting involved in social activities in the church. Most business places are usually closed by 8 p.m. except for a few night pubs which are usually frequented by older men. This district can almost be described as a retirement community. Both girls are thinking of setting up their business in a small shopping plaza in the community and they are quite excited since their business will be the first of its kind and they will have no real competitors.

Sandy and Shelley have no starting capital, but they are thinking of getting a business loan from the local bank, which is the only one in the community.

- (a) Explain what is meant by a 'partnership'. **[2 marks]**
- (b) Suggest to Sandy and Shelley, FIVE main provisions that they could include in their partnership deed. **[5 marks]**

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- (c) Outline TWO disadvantages of forming a partnership business. [4 marks]
- (d) Identify THREE **major** challenges that Sandy and Shelley may face as young entrepreneurs. [3 marks]
- (e) Outline ONE way in which market demand would affect S & S Enterprise. [2 marks]
- (f) Discuss THREE **main** reasons why it would be important for Sandy and Shelley to conduct market research before embarking on their new business venture. [9 marks]

Total 25 marks

6. (a) Mary Cook-Well, the owner of a small restaurant, is unsure of the reasons for updating her business plan on a yearly basis. Outline THREE possible advantages to be gained by Mary from engaging in such a practice. [6 marks]
- (b) Mr. Want-Money is a very opinionated middle-aged man who loves to make decisions on his own. He is thinking of setting up an auto-parts business. He has no real experience as to how to set up or manage such a business. You are to advise him on the following:
- (i) THREE important factors he must consider when deciding on a location for his business [6 marks]
- (ii) ONE **main** reason he should start a sole trader business rather than a Partnership [3 marks]
- (iii) THREE factors he must consider when sourcing finance for his business [6 marks]
- (iv) TWO advantages that he may experience if he decides to buy an existing auto-parts business instead of starting a new one [4 marks]

Total 25 marks

END OF TEST